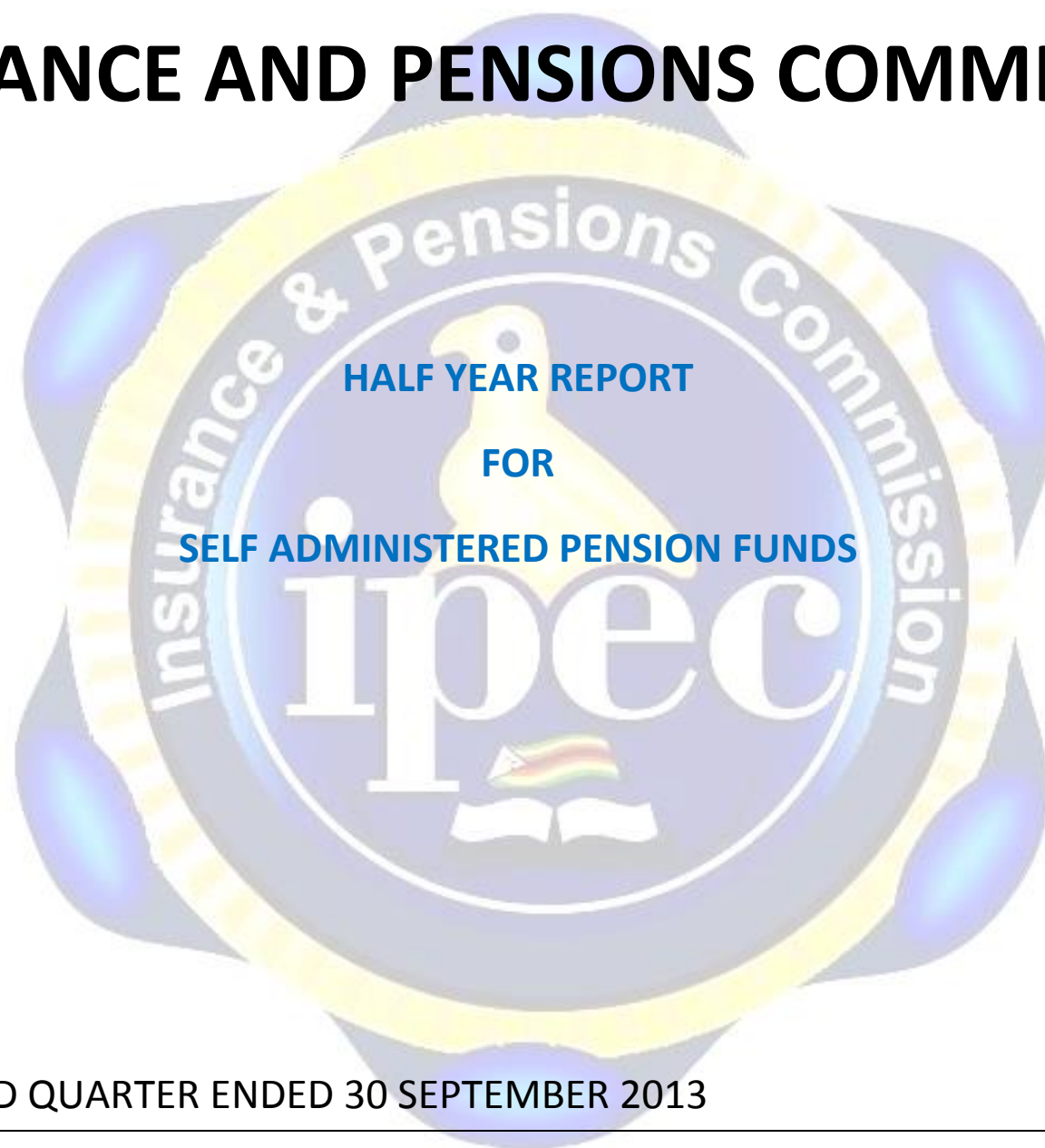


INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

THIRD QUARTER ENDED 30 SEPTEMBER 2013

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2.0 Industry Overview

This report is centered on 14 standalone funds, 3 fund administrators, and two life assurers. Players who failed to submit returns on time were fined in terms of the law.

For the current reporting period, self administered funds realized contributions amounting to \$301million although only \$152million or 51% were in accumulated arrears over their life span(September 2012:\$148million).

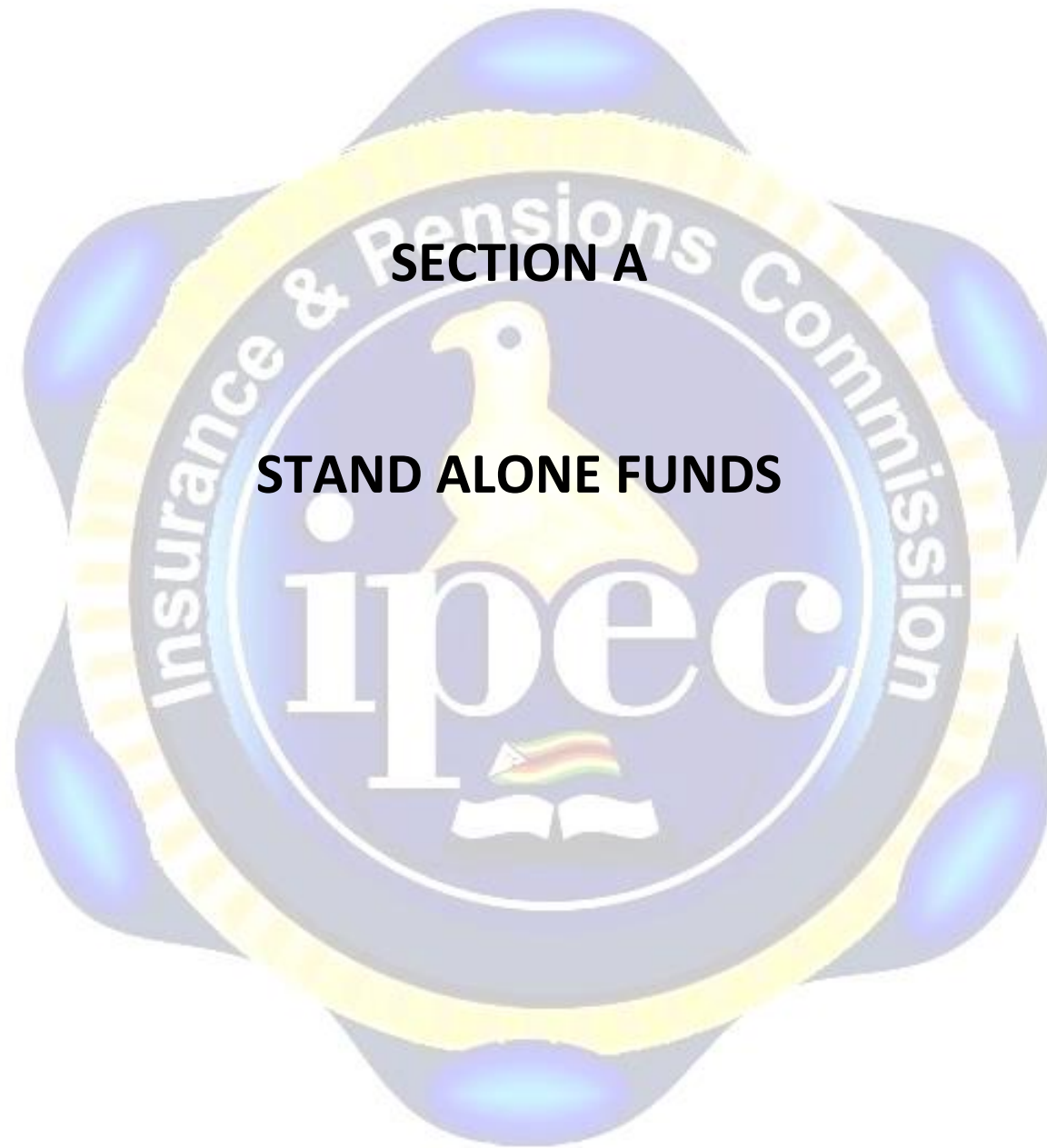
Another major challenge was high expense ratios exceeding the generally accepted 10% ceiling. The average expense to contribution ratio was 22%, a 10% reduction in expenditure following interventions by the Commission.

Total asset base for the funds was \$1.8billion, a 48% growth from the prior year(See Table 1, below).

2.2 Financial Summary for Self Administered Funds for the third quarter ended 30 September 2013

Item	Standalone Funds					Insurer Administered Funds					Fund Administrators					TOTALS				
	Jun-13	Sep-12	Sep-13	Q-%	A-%	Jun-13	Sep-12	Sep-13	Q-%	A-%	Jun-13	Sep-12	Sep-13	Q-%	A-%	Jun-13	Sep-12	Sep-13	Q-%	A-%
Arrear Contributions (\$000)	114,266	30,260	126,260	10	317	13,246	410	15,106	14	3584	25,314	9,039	10,695	(58)	18	152,826	39,709	152,061	(1)	283
Total Contributions (Incl.Arrears)(\$000)	155,537	75,119	189,496	22	152	35,707	24,937	49,354	38	98	52,663	48,137	61,692	17	28	243,907	148,193	300,542	23	103
Total Contributions (Excl. Arrears)(\$000)	41,072	44,692	63,236	54	41	22,461	24,547	34,248	52	40%	27,349	37,394	48,211	76	29	90,882	106,633	145,695	60	37
Total Income (\$000)	70,916	72,723	104,912	48	44	43,198	33,472	58,732	36	75	50,650	58,946	86,829	71	47	164,764	165,141	250,473	52	52
Total Benefits	24,824	22,412	42,227	70	88	7,931	11,420	13,313	68	17	10,643	15,209	16,247	53	7	43,398	51,091	71,787	65	41
Total Expenses (\$000)	13,630	15,341	10,541	(23)	(31)	6,373	3,588	8,394	32	134	10,221	14,730	13,690	34	(7)	30,224	33,659	32,625	8	(3)
Net Income(\$000)	32,462	57,382	94,371	191	64%	28,894	29,884	50,338	74	68	29,786	44,216	73,139	146	65	91,142	131,482	217,848	139	66
(Expense/Contributions)%	33%	35%	17%	(17)	(18)	28%	15%	25%	(3)	10	37%	39%	28%	(9)	(11)	33%	32%	22%	(11)	(10)
(Expense/Total Income)%	19%	21%	10%	(9)	(11)	15%	11%	14%	(1)	3	20%	25%	16%	(4)	(9)	18%	20%	13%	(5)	(7)
Total Assets (\$000)	1,084,341	716,872	1,136,001	5	58	226,278	176,587	231,963	3	31	436,421	326,732	433,270	(1)	33	1,747,040	1,220,191	1,801,234	3	48
Prescribed Assets (\$000)	8,942	4,472	11,747	31	163	3,556	1,875	3,618	2	93	13,226	7,824	11,618	(12)	48	25,724	14,171	26,983	5	90
Prescribed Asset Ratio (%)	1%	1%	1%	0	0	2%	1%	2%	-	1	3%	2%	3%	0%	1%	1%	1%	1%	-	-

KEY: A% - Annual Growth rate ; Q % -Quarterly Growth Rate



SECTION A

STAND ALONE FUNDS

3.0 Standalone Self Administered Pension Funds

This report is based on 14 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the Act. The Commission may dissolve the board of trustees of such funds and license cancellations.

Table 1: Standalone Self Administered Pension Funds

Fund Name	September 2013
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
Pentact Pension Scheme	1
ZB Financial Holdings P/Fund	*
ZMDC Group Pension Fund	1
ZESA Pension Fund	1
GMB	1
Zimpapers	*
Motor Industry	1
Ernst & Young	1
Aon Zimbabwe P/F	*
Pentact P/F	1
TOTALS	14

*Returns not submitted

4.0 Pension Fund Membership

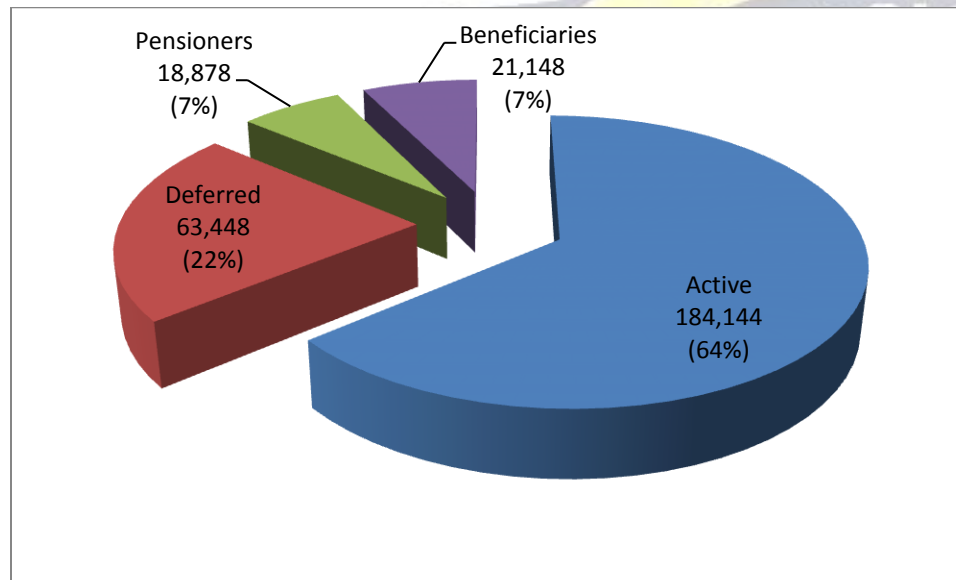
Total fund membership was made up of 184 000 or 64% active members, 63 000 or 22% deferred members, 7% or 19 000 being pensioners and 7.4% or 21 000 were beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the first quarter ended 30 September 2013

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
Catering IPF	*	*	-	*	*	-	*	*	-	0	-	-	*	-	-	*		
Clothing IPF	11,551	13,004	13%	404	9,130	2160%	-	-	-	-	-	-	-	(183)	-	11,955	22,134	855%
CAIPF	3,555	3,382	(5%)	2,347	4,135	76%	1,006	1,364	36%	3,296	2,896	(12%)	(108)	(172)	59%	10,096	11,77	17%
CIPF	*	55,304	-	*	5,428	-	*	52	-	*	91	-	*	(516)	-	60,359	60,875	(4%)
LAPF	-	20,136	-	-	-	-	*	4,164	-	*	7,883	-	*	(148)	-	*	32,183	-
MIPF	29,720	29,754	0%	41,310	41,399	-	6,261	7,131	14%	1,092	1,202	10%	(1,629)	(1750)	7%	76,754	79,486	4%
NRZ	7,149	7,120	0%	1,421	1,829	29%	5,634	5,399	(4%)	8,069	8,616	7%	(165)	(134)	(19%)	22,108	22,964	4%
ZB FHGPF	*	1,006	-	*	828	-	*	146	-	*	180	-	*	(8)	-	*	2,160	-
ZMDC P/F	*	188	-	*	-	-	-	62	-	*	78	-	(4)	-	-		324	
ZESA PF	6,448	6,596	2%	-	-	-	143	272	90%	72	162	125%	-	-	-	6,703	7,030	5%
GMB	2,088	2,059	(1%)	971	699	(28%)	16	21	38%	-	-	-	(39)	(5)	(87%)	3,036	2,779	(8%)
Zimpapers	923	*		799	*		428	*	-	510	*	-	(33)	-	-	2,627	*	
Motor Ind	44,418	45,357	2%	-	-	-	107	178	66%	21	40	90.5%	(226)	-	-	44,320	45,575	3%
Ernst & Young	152	145	(5%)	0	-	-	86	89	-	0	-	-	(86)	-		152	234	54%
Pentact P/F	-	4	-	0	-	-	0	-	-	0	-	-	0	-	-	4	4	-
AON Zimbabwe P/F	*	89	-	0	-	-	0	0	-	0	-	-		(1)	-	-	89	-
Totals	106,065	184,144	74%	47,252	63,448	34%	13,650	18,878	38%	13,060	21,148	62%	(2,256)	(2,917)	29%	177,771	287,618	62%

*Returns not submitted

Figure 1: Membership for Standalone Funds for the third quarter ended 30 September 2013



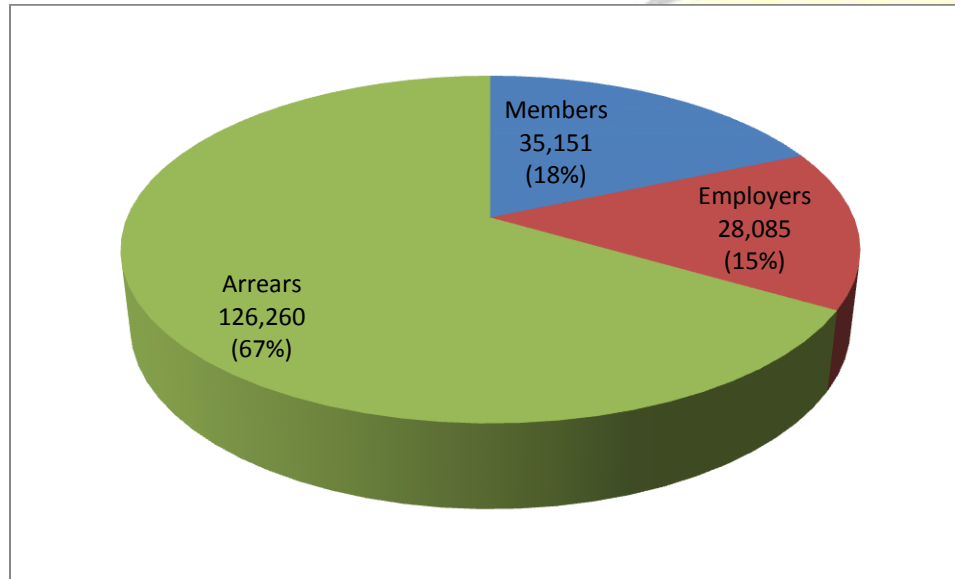
5.0 Contributions

Employers contributed \$28million or 15% whilst members contributed \$35million or 18% of total contributions. The balance of \$126million or 67% of total contributions reflect arrears rolled over for a couple of years until the current reporting period. Concerted efforts are continuing in consultation with key stakeholders although employers appear to be constrained by liquidity and cost challenges (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Standalone Fund for the Third quarter ended 30 September 2013

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers			Members		
	Sep-12	Sep-13	Growth	Sep-12	Sep-13	Growth	Sep-12	Sep-13	Growth	Sep-12	Sep-13	Growth	Sep-12	Sep-13	Growth
Catering IPF	*	-		*	*	*	*	*	*	*	*	*	*	-	-
Clothing IPF	560	465	(17%)	785	651	(17%)	235	342	46%	329	774	135%	1,909	2,232	17%
CAIPF	1,943	1,397	(28%)	5,828	4,194	(28%)	561	1,158	106%	1,684	4,643	176%	10,016	11,392	14%
CIPF	*	1,572	-	*	1,572	-	*	-	-	*	346	-	-	3,490	-
LAPF	*	14,914	-	*	5,054	-	*	-	-	*	88,816	-	-	108,784	-
MIPF	10,553	11,424	8%	10,778	11,410	6%	-	53	-	5,086	3,444	(32%)	-	26,331	-
NRZ	2,821	2,722	(4%)	-	-	-	-	-	-	12,382	17,039	38%	15,203	19,761	30%
ZB FHGPF	*	629	-	*	974	-	*	-	-	*	-	-	-	1,603	-
ZMDC	39	37	(5%)	340	90	(74%)	-	-	-	380	499	31%	-	626	-
ZESA PF	1,510	526	(65%)	3,209	1,118	(65%)	*	1,753	-	4,009	3,725	(7%)	-	7,122	-
GMB	326	372	14%	1,122	1,377	23%	49	136	178%	157	1,265	706%	1,654	3,149	90%
Zimpapers	410	-	-	761	-	-	1,237	-	-	2,494	-	-	4,902	-	-
Motor Ind	1,416	882	(38%)	2,123	1,323	(38%)	-	617	-	1,657	1,650	-	5,196	4,472	(14%)
Ernst&Young	132	125	(5%)	203	195	(4%)	-	-	-	-	-	-	335	320	(4%)
Pentact P/F	*	1	-	*	1	-	-	-	-	-	-	-	-	2	-
AON Zimbabwe P/F	*	85	-	*	126	-	*	-	-	*	-	-	-	211	-
Total	19,710	35,151	78%	25,149	28,085	12%	2,082	4,059	95%	28,178	122,201	316%	75,119	189,496	152%

Figure 2: Contributions Statistics per Standalone Fund for the Third quarter ended 30 September 2013(\$000)



6.0 Income and Expenditure

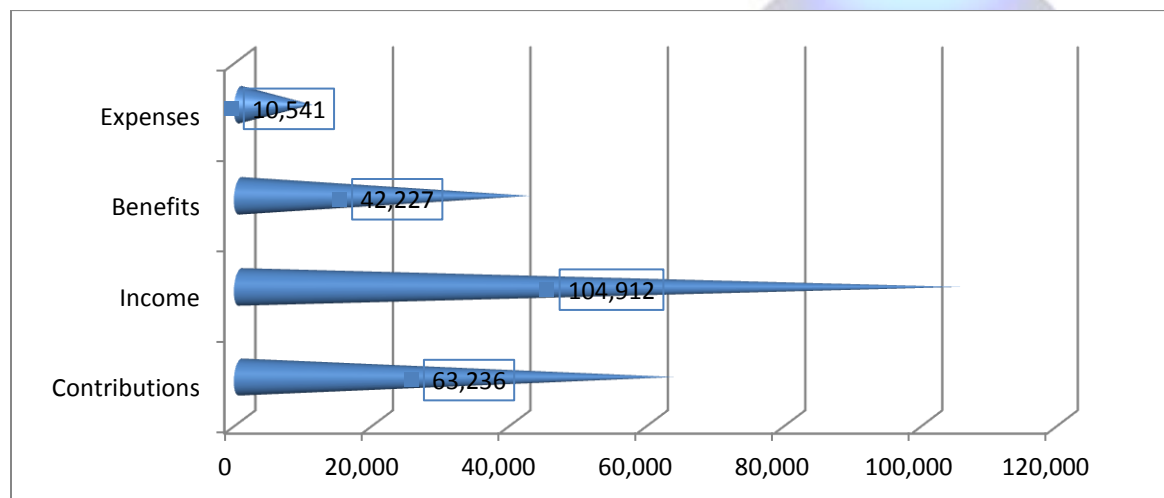
For the quarter ended 30 September 2013, Standalone funds received contributions in the sum of \$63million whilst incurring \$11million in expenses.

Following the Commission's engagements with industry to rationalize expenses, Standalone funds reported an expense ratio of 17% from 35% reported in the corresponding period last year. Low expenses enhance member values and pension payouts given the current low investment returns in the various markets(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the Third quarter ended 30 September 2013(\$000)

Fund Name	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
Catering IPF	*	*	*	*	*	*	*	*	*	*	*	*	*	*	*	*	*	*
Clothing IPF	1,385	1,116	(19%)	1393	1,599	15%	338	554	64%	903	365	(60%)	65%	33%	(54%)	65%	23%	(42%)
CAIPF	7,771	5,591	32%	14726	13,528	(7%)	5795	7,401	28%	1436	1,422	(1%)	18%	25%	7%	10%	11%	(1%)
CIPF	*	3,144	-	*	4,964	-	*	453	-	-	1,602	-	-	51%	-	-	32%	-
LAPF	*	19,968	-	*	26,912	-	*	9,969	-	-	1,635	-	-	8%	-	-	6%	-
MIPF	21,502	22,834	7%	28467	29,807	5%	7714	9,307	21%	9911	2,239	(77%)	46%	10%	(36)	35%	8%	(27%)
NRZ	2,821	2,722	(4%)	14603	15,632	7%	6895	12,207	77%	1080	1,257	16%	38%	46%	8%	7%	8%	(1%)
ZB FHGPF	*	1,603	-	*	2,613	-	-	378	-	-	103	-	-	6%	-	-	4%	-
ZMDC	*	127	-	*	300	-	-	227	-	-	51	-	-	40%	-	-	17%	-
ZESA PF	4,719	1,644	(65%)	5070	2,002	(61%)	113	206	82%	258	235	(9%)	5%	14%	9%	5%	12%	7%
GMB	1448	1,749	21%	1910	2,000	6%	71	30	(58%)	483	559	16%	33%	32%	(1%)	25%	28%	3%
Zimpapers	1171	*	-	1417	*	-	449	*	-	361	*	-	-	*	-	-	*	-
Motor Ind	3539	2,205	(38%)	4747	4,553	(4%)	810	1,313	62%	940	902	(4%)	27%	41%	14%	20%	20%	-
Ernst&Young	336	320	(5%)	390	469	20%	390	109	(72%)	59	30	(49%)	18%	9%	(9%)	15%	6%	(9%)
Pentact P/F	*	2	-	*	2	-	*	0	-	-	0	-	-	0%	-	-	0%	-
Aon Zimbabwe PF	*	211	-	*	531	-	*	73	-	-	141	-	-	67%	-	-	27%	-
Totals	44,692	63,236	41%	72,723	104,912	44%	22,412	42,227	88%	15,431	10,541	27%	35%	17%	18%	21%	10%	11%

Figure 3: Income and Expenditure for Standalone Funds for the third quarter ended 30 September 2013(\$000)



7.0 Fund Assets

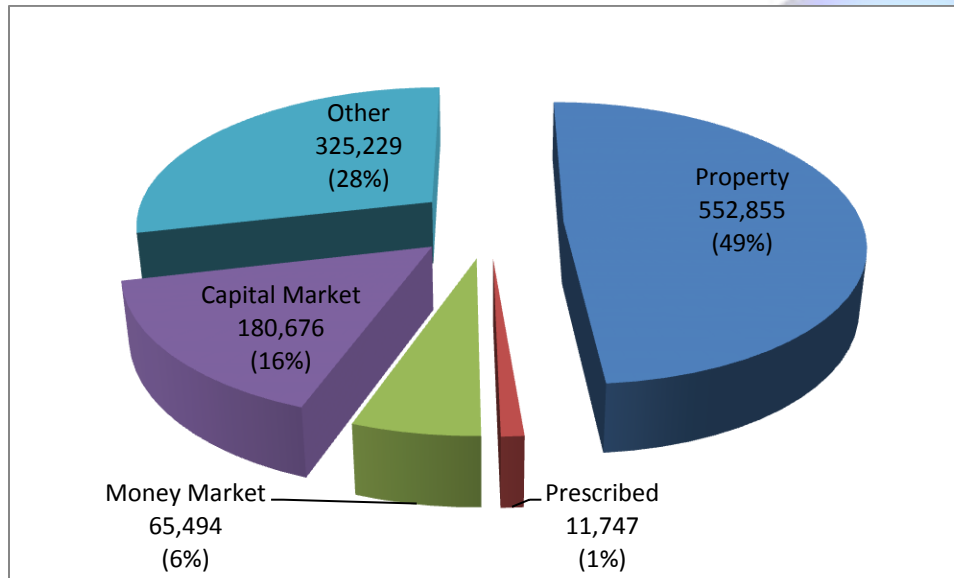
For the quarter ended 30 September 2013, Standalone funds invested \$553million or 49% in property (September 2012:55% or \$396million),16% or \$181million in capital market securities (September 2012:12% or \$89million),6% or \$65million in money market securities{September 2012:8% or \$51million, }, 28% or \$325million in other securities{September 2012:25% or \$176million, } and 1% in prescribed assets(See Table 5 and Figure 4, below).

Funds must abide by the actuarial guidelines in conjunction with Circular No.1 of 2013 which introduced ceiling on per each asset class. Failure to comply by the set deadline will force the Commission to invoke the law and penalize offenders.

Table 5: Fund Assets Market Value per Standalone Fund for the Third quarter ended 30 September 2013

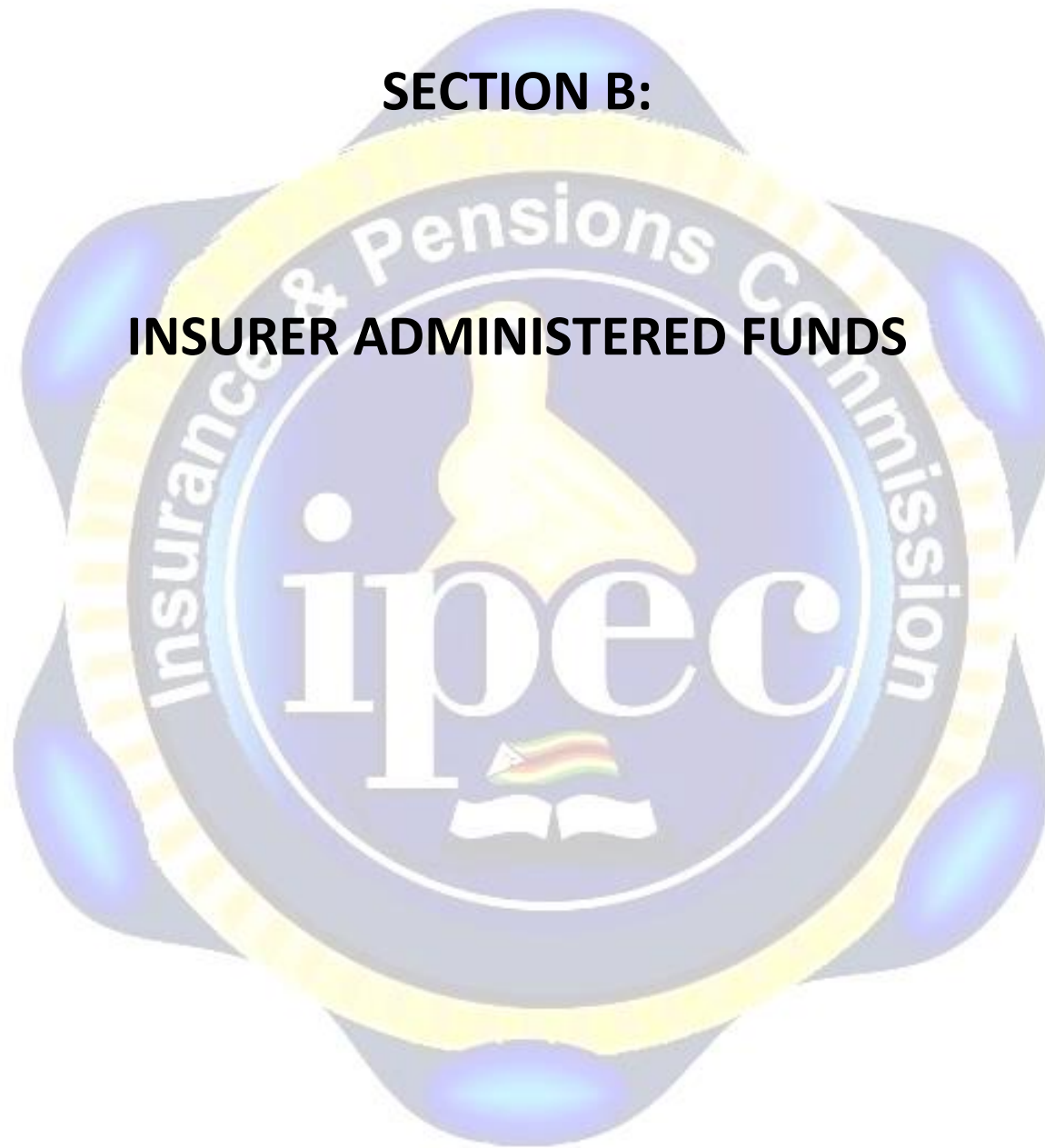
Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
Catering IPF	*	*	*	*	*	*	*	*	-	*	*	-	*	*	*	*	*	-
Clothing IPF	8,500	11,100	31%	0	50	-	1,129	1,511	34%	3,497	3,711	6%	1,708	1,178	(31%)	14,834	17,550	18%
CAIPF	74,240	84,621	14%	750	2,000	167%	1,703	10,088	492%	20,117	21,544	7%	18,506	25,425	37%	115,316	143,678	25%
CIPF	*	12,356	-	*	1,936	-	*	0	-	*	6,451	-	*	3,714	-	*	24,457	-
LAPF	*	68,839	-	*	0	-	*	0	-	*	31,663	-	*	95,351	-	*	195,853	-
MIPF	84,410	100,422	19%	3,035	4,073	34%	11,919	2,088	(72%)	38,605	60,142	56%	6,660	3,931	(41%)	144,629	170,656	18%
NRZ	212,635	230,343	8%	0	500	-	21,817	18,216	(17%)	9,498	13,005	37%	124,148	161,878	69%	368,098	423,942	15%
ZB FHGPF	*	13,338	-	*	2,144	-	*	20,575	-	*	24,957	-	*	2,631	-	*	63,645	-
ZMDC	*	1,574	-	*	-	-	*	597	-	*	-	-	*	1,999	-	*	4,170	-
ZESA PF	7,644	16,927	121%	242	356	47%	6,600	12,300	86%	4,589	4,580	-	18,417	23,937	30%	37,492	58,100	55%
GMB	2,367	8,599	263%	334	-	-	2,654	17	(99%)	174	182	5%	687	1,778	159%	6,216	10,576	70%
Zimpapers	2,393	*	-	0	*	-	5	*	-	918	*	11%	3,820	*	-	7,136	*	-
Motor Ind	4,169	4,736	14%	111	611	450%	5,079	-	-	10,737	11,941	154%	2,001	2,647	32%	22,097	19,935	(10%)
Earnst& Young	0	-	-	0	15	-	446	93	(79%)	569	1,444	-	39	7	(82%)	1,054	1,559	(48%)
Pentact P/F	*	0	-	*	0	-	*	-	-	*	6	-	*	199	-	-	205	-
Aon	-	0	-	-	62	-	*	9	-	-	1,050	104%	*	554	-	-	1,675	-
Totals	396,358	552,855	39%	4,472	11,747	163%	51,352	65,494	43%	88,704	180,676		175,986	325,229	85%	716,872	1,136,001	58%

Figure 4: Fund Asset Values for Standalone Funds for third quarter ended 30 September 2013(\$000)



SECTION B:

INSURER ADMINISTERED FUNDS



1.0 Insurer Self Administered Pension Funds

The report covers 30 funds administered by 2 insurers (see Table 1, below).

Table 1: Fund Administrators

Insurer	Sept 2013
First Mutual	6
Old Mutual	24
TOTALS	30

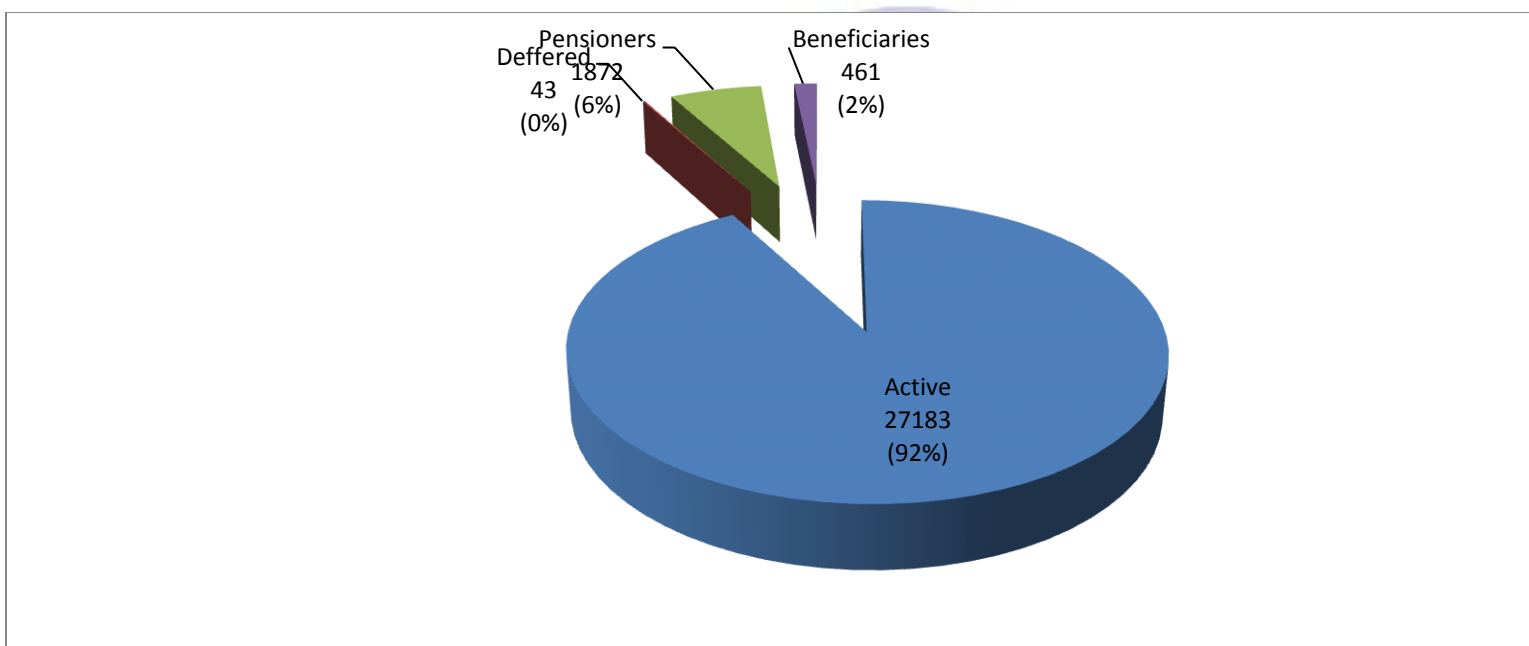
2.0 Pension Fund Membership

Total fund membership for the insurer administered funds was 30 000 distributed between 27 000 actives (92%), pensioners 2000 or 6% and beneficiaries making up the balance (See Table 2 and Figure 1, below). This distribution might be an indication of resistance by eligible pensioners to retire due to unattractive benefits.

Table 2: Membership for Insurer- Self Administered Pension Funds for the third quarter ended 30 September 2013

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
First Mutual	2882	4519	57%	-	-	-	5	-	-	1	-	-	(12)	-	-	2888	4519	56%
Old Mutual	21857	22664	4%	60	43	-	1881	1872	-	461	461	-	(337)	(434)	29%	24259	25040	3%
Totals	24739	27183	10%	60	43	(28)	1886	1872	-	462	461	-	349	(434)	24%	27147	29559	9%

Figure 1: Membership Statistics for Insured Self Administered Funds for the third quarter ended 30 September 2013



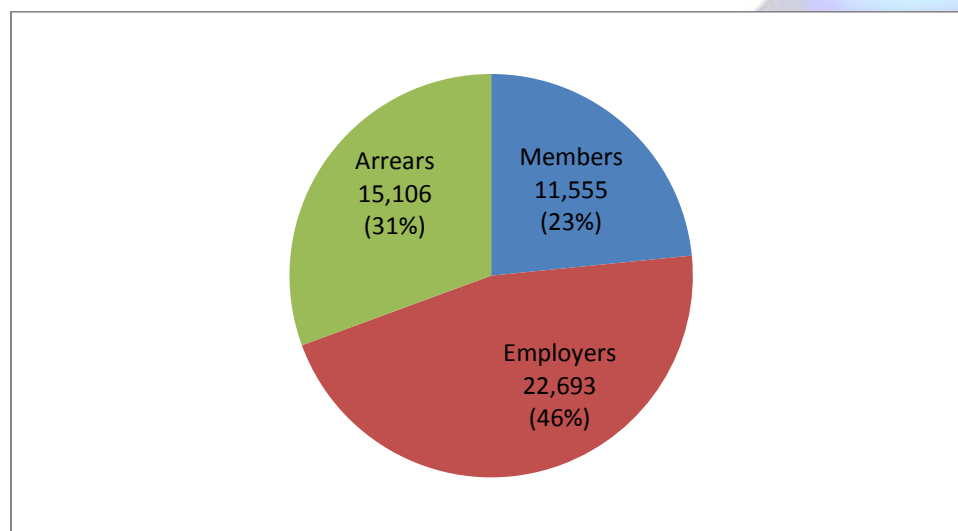
3.0 Contributions

Total collectable contributions in respect of insurers amounted to \$49million(September 2012:\$25million).However \$15million or 31% were in arrears. The Commission is continuings to explore various rehabilitative measures in consultation with key stakeholders like government and administrators (See Table 3 and Figure 2 below).

Table 3:Contributions Statistics for Insured Self Administered Funds for the third quarter ended 30 September 2013

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
First Mutual	1,660	3,556	114%	1,164	5,777		-	-	-	346	7,178	1975%	3,169	16,511	421%
Old Mutual	7,294	7,999	42%	14,410	16,916		-	-	-	64	7,928	12288 %	21,768	32,843	51%
Totals	8,954	11,555	29%	15,574	22,693		-	-	-	410	15,106	3484%	24937	49,354	98%

Figure 2: Contribution Statistics for Insured Self Administered Funds for the third quarter ended 30 September 2013\$(000)



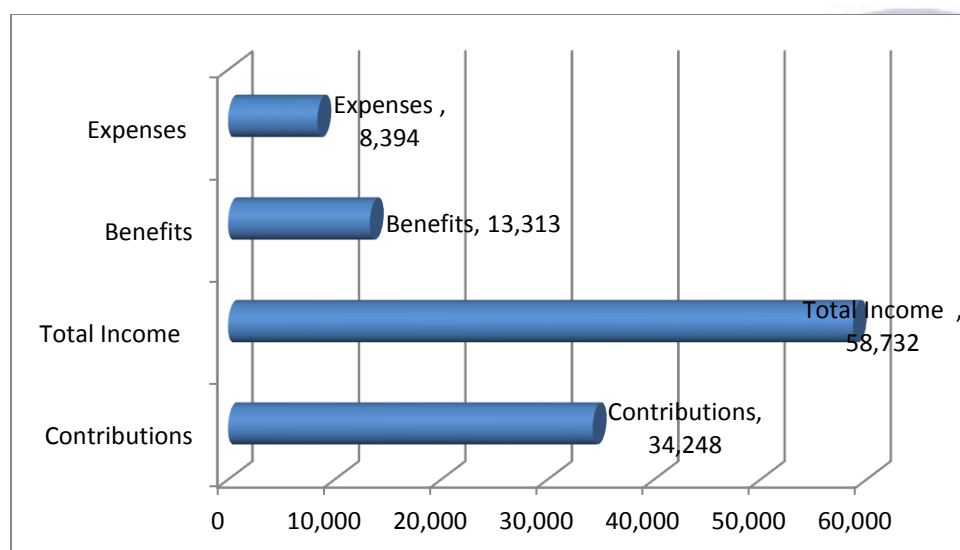
4.0 Income and Expenditure

For the current third quarter ended 30 September 2013, insurer administrators realised \$34million in contributions (September 2012: \$24million) and \$58million as total income (September 2012: \$33million) with total expenditure of \$8million, a 134% growth from the previous quarter. Resultantly the expenses to contributions and expenses to income ratios were 25% and 14% respectively. In the absence of compensatory investment returns, such high expense rates compromise member values and pensions. The Commission will continue to work with players to rationalize this key issue (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self Administered Funds for the third quarter ended 30 September 2013

Insurer	Total Contributions(Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
First Mutual	2,823	9,333	231%	2,753	10,922	297%	416	2,056	394%	71	1,130	1392%	2	12%	10%	3	10%	7%
Old Mutual	21,704	24,915	15%	30,719	47,810	56%	11,004	11,257	2%	3,518	7,264	106%	16	29%	13%	11	7%	(4%)
Totals	24,527	34,248	40%	33,472	58,732	75%	11,420	13,313	17%	3,588	8,394	134%	15	25%	10%	11	14%	3%

Figure 3: Income and Expenditure for Insured Self Administered Funds for the third quarter ended 30 September 2013 (\$000)



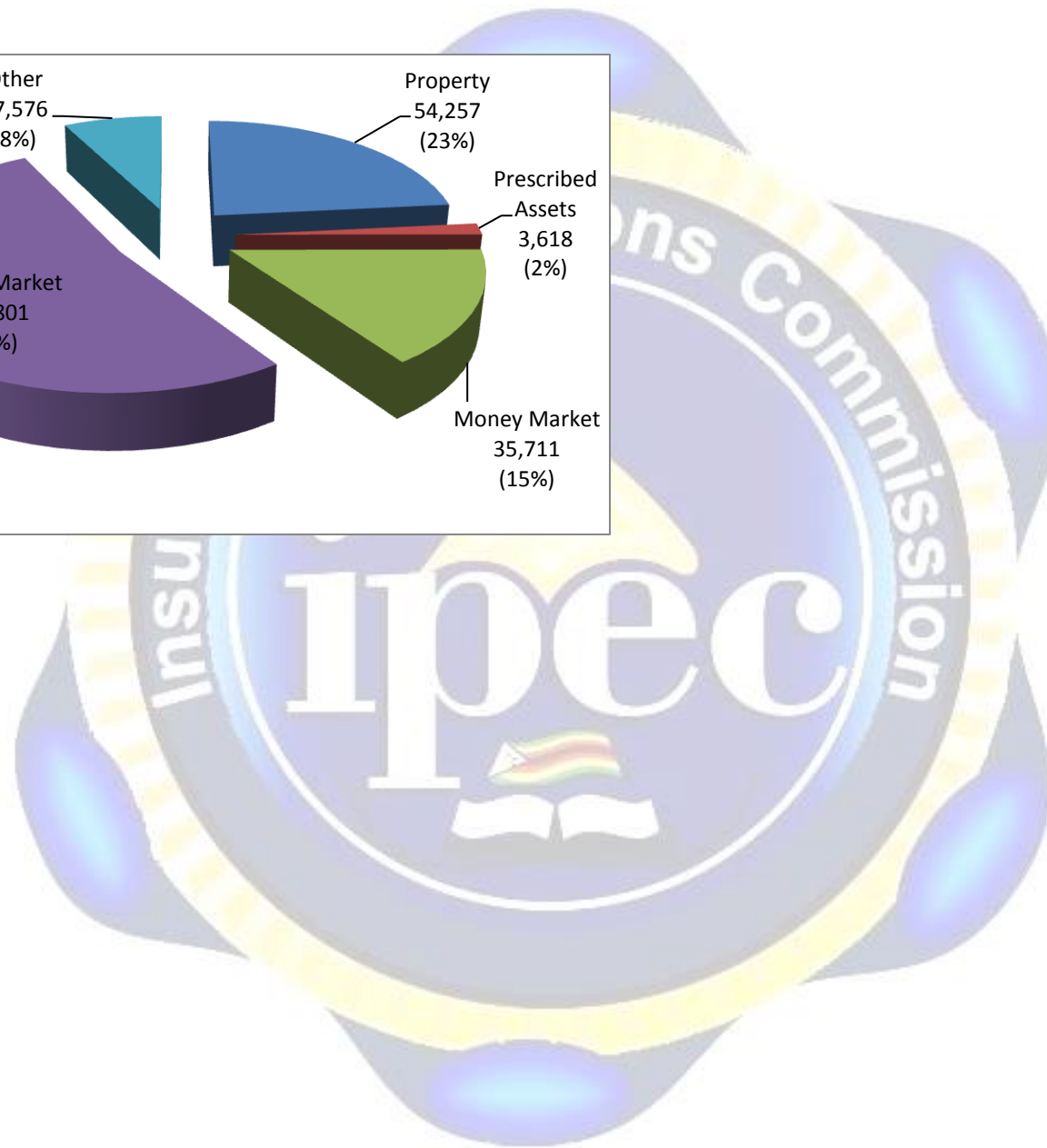
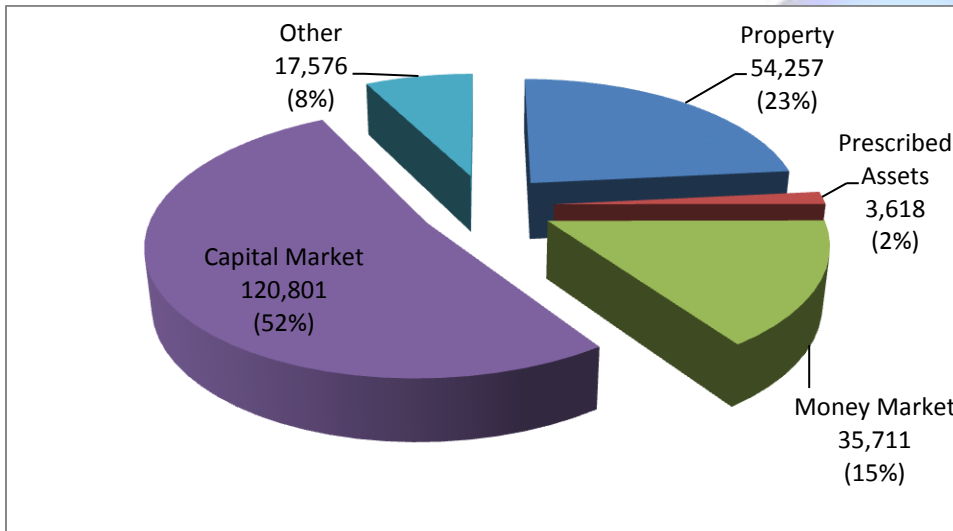
5.0 Fund Assets

For the current reporting period, Insurer administered funds held \$54million or 23% in properties(September 2012:\$50million or 28%) ,52% or \$121million in capital market securities (September 2012:68% or \$98million),money market securities -\$36million or 15%(September 2012:11% or \$36million),8% or \$18million in other securities and 2% in prescribed assets(See Table 5 and Figure 4, below).In order to strike the relevant asset liability matrix,the Commission continues to encourage players to adopt tactical asset allocation recommended by both actuaries in conjunction with guidelines from the regulator.

Table 5: Fund Asset Statistics at Market Value for Insured Self Administered Funds for the third quarter ended 30 September 2013

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
F.Mutual	694	1,109	60%	10	413	4030%	18	(2)	(111%)	8,044	13,428	67%	1,317	8,263	527%	10,083	23,211	130%
O.Mutual	49,007	53,148	8%	1,865	3,205	72%	19,600	35,713	82%	89,469	107,373	20%	6,563	9,313	42%	166,504	208,752	25%
Totals	49,701	54,257	9%	1,875	3,618	93%	19,618	35,711	82%	97,513	120,801	24%	7,880	17,576	123%	176,587	231,963	31%

Figure 4: Fund Assets at Market Value for Insured Self Administered Funds for the third quarter ended 30 September 2013 (\$000)



SECTION C:

FUND ADMINISTRATORS



1.0 Fund Administrators

This report is based on 134 funds in the books of the listed administrators. In the period under review Aon rebranded to Mirneva whilst one fund administrator failed to submit returns and was fined accordingly (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Sept 2013
Minerva	58
Comarton Consultants	28
Marsh	44
Zimbabwe Insurance Brokers	-
TOTALS	130

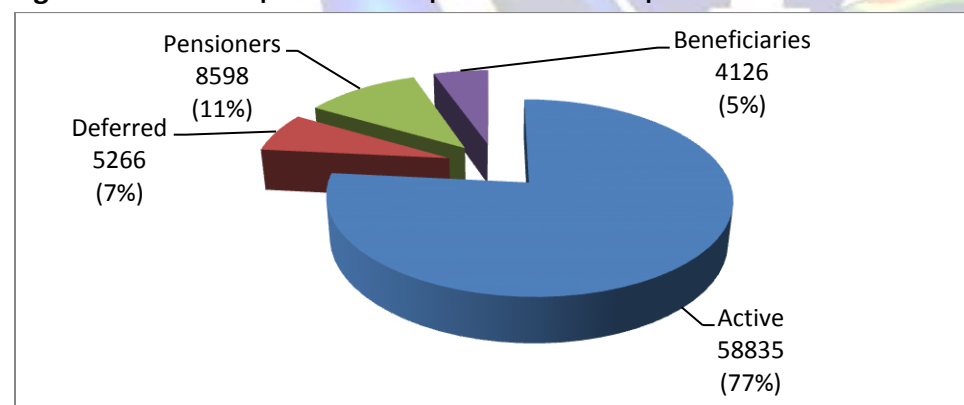
2.0 Pension Fund Membership

Fund membership was composed of 77 000 people distributed among 59 000 actives or 77% (September 2012:76%), pensioners -9 000 or 11%(September 2012:11%) and the balance was shared between beneficiaries and deferred members (See Table 2 and figure 1 below).

Table 2: Membership for Self Administered Funds for the third quarter ended 30 September 2013

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
Minerva	26308	27251	4%	811	793	(2%)	2165	3258	50%	39	515	1221%	(761)	(1096)	44%	29323	31817	9%
Comarton	16813	14700	(13%)	939	74	(92%)	1894	2060	9%	1617	1793	11%	(368)	(270)	27%	21063	18,627	(12%)
Marsh	10436	16884	62%	4191	4399	5%	3767	3280	(13%)	1840	1818	91%	(319)	(289)	(9%)	20234	26381	30%
ZIB																		
Totals	53557	58835	10%	5941	5266	11%	7826	8598	10%	3496	4126	18%	(1448)	(1655)	14%	70620	76825	9%

Figure 1: Membership for the third quarter ended 30 September 2013



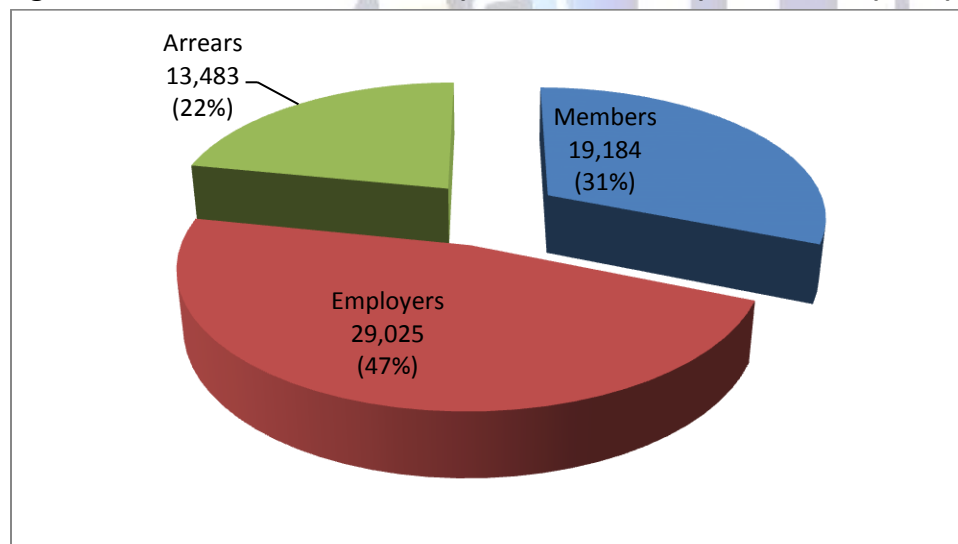
3.0 Contributions

For the period under review, total contributions were \$62million (September 2012:\$48million) with \$13million or 22% being contribution arrears. As highlighted elsewhere, the Commission continues to engage various stakeholders to manage this challenge. Employers contributed \$29million or 47% whilst members contributed \$19million or 31% (See Table 3,below).

Table 3: Contributions Statistics for Self Administered Funds for the third quarter ended 30 September 2013

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
Minerva	7,769	9,249	19%	13,736	14,595	6%	672	1,421	111%	1,158	1,154	-	23,335	26,419	13%
Comarton	1,419	1,576	11%	3,524	3,694	5%	1,032	1,367	32%	2,577	2,438	(5%)	8,552	9,075	6%
Marsh	4,713	8,359	77%	6,233	10,736	72%	-	-	-	5,304	7,103	34%	16,250	26,198	61%
ZIB	-						-			-			-		
Total	13,901	19,184	38%	23,493	29,025	24%	1,704	2,788	64%	9,039	10,695	18%	48,137	61,692	28%

Figure 2: Contributions for the third quarter ended 30 September 2013(\$000)



4.0 Income and Expenditure

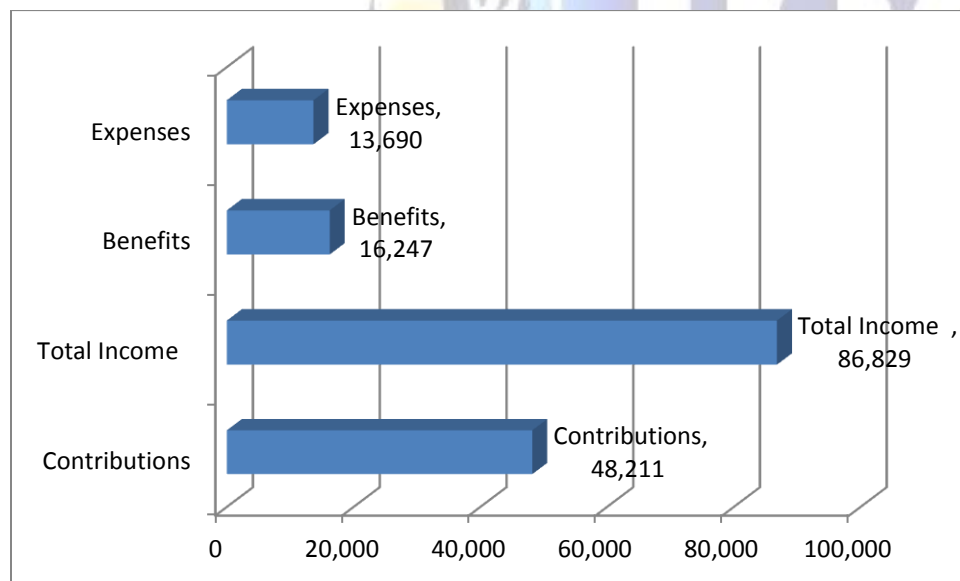
For the current review period, fund administrators collected \$48million in contributions (September 2012:\$37m) and realized \$87million in total income (September 2012:\$29million) whilst total expenditure was \$14million(September 2012:\$15million).

The expenses- to- contributions and expenses- to- income ratios were 28% and 16% respectively against our recommended ceiling of 10%.The Commission will continue to encourage industry to prudently cut back on expenditure (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self Administered Funds for the third quarter ended 30 September 2013(\$000)

Fund Name	Total Contributions(Excl arrears)(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 12	Sept 2013	Growth	Sept 12	Sept 2013	Growth	Sept 12	Sept 2013	Growth
Minerva	21,505	23,844	11%	32,649	52,241	60%	7,974	7,735	(3%)	6,198	4,711	(24%)	29%	20%	(9%)	19%	9%	(10%)
Comarton	4,943	5,270	7%	8,985	8,636	(4%)	2,481	2,558	3%	3,706	3,325	(10%)	75%	63%	(12%)	43%	39%	(4%)
Marsh	10,946	19,097	74%	17,312	25,952	50%	4,754	5,954	25%	4,826	5,654	17%	44%	30%	(14%)	28%	22%	(6%)
ZIB	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Totals	37,394	48,211	29%	58,946	86,829	47%	15,209	16,247	7%	14,730	13,690	(7%)	39%	28%	(11%)	39%	16%	(23%)

Figure 3: Income and Expenditure for Self Administered Funds for the third quarter ended 30 September 2013(\$000)



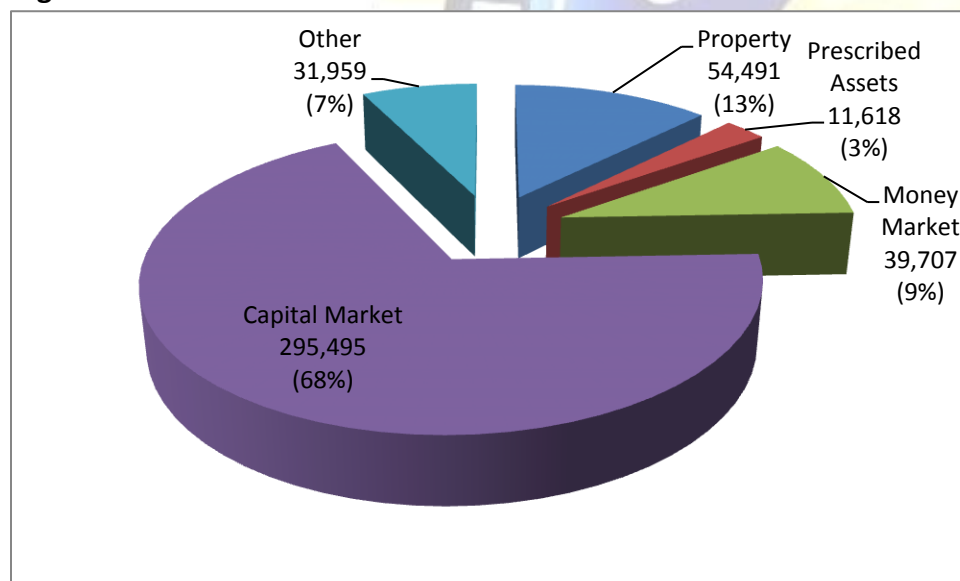
5.0 Fund Assets

For the current quarter, fund administrators reported investments of \$54million or 13% in properties(September 2012:\$60million or 18%),68% or \$295million in capital market securities (September 2012:57% or \$187million),money market securities -\$40million or 9%(September 2012:16% or \$53million),7% or \$32million in other securities and 3% in prescribed assets (see Table 5 and Figure 4,below).

Table 5: Fund Asset Statistics at Market Value for Self Administered Funds for the third quarter ended 30 September 2013

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth	Sept 2012	Sept 2013	Growth
Minerva	16,977	10,919	(36%)	5,063	7,006	38%	36,727	5,268	76%	91,579	147,138	61%	7,678	15,562	103%	158,024	185,893	18%
Comarton	-	-	-	561	879	57%	9,956	12,249	23%	50,700	65,013	28%	-	-	-	61,217	78,141	28%
Marsh	43,176	43,572	1%	2,200	3,733	70%	6,560	22,190	238%	45,179	83,344	84%	10,376	16,397	58%	107,491	169,236	57%
ZIB																		
Totals	60,153	54,491	(9%)	7,824	11,618	48%	53,243	39,707	(25%)	187,458	295,495	58%	18,054	31,959	77%	326,732	433,270	33%

Figure 4: Fund Assets Statistics at Market Value for Self Administered Funds for the third quarter ended 30 September 2013



6.0 Prescribed Assets

The industry's uptake of statutory paper was 1%. Players are required to participate as availability improves to avoid statutory penalties(See Table6 and 1).

Table 6: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Old Mutual	DIMAF:\$27 million	Funding distressed and marginalized industries	5years	10%	2 January 2013
CBZ	AMA Bills:\$15million	Funding 2013/4 Soya bean farming	272 days	10.5%	4 October 2013
NMB	SME:\$50 million	Funding small to medium enterprises	2years	10%	3 October 2013
FBC /Agribank	Agrobills:\$15million	Funding 2013/4 Soya bean farming	360days	10%	4 October 2013

7.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 7: Issued Circulars, Acts and Statutory Instruments

Details	Subject Matter	Issue date
Money Laundering and Proceeds Of Crime Act Chapt 9:24	A Money Laundering and Proceeds Of Crime Act	June 2013
Circular No. 6 of 2013	Insurance and Pensions Housing Fund (IPHF)	27 June 2013
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No. 4 of 2013	Seminar on Modernizing Insurance Regulation	9 May 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 20 of 2013	Capital Requirements for fund administrators	22 February 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013

Conclusion

The major challenges of growing contribution arrears or actuarial deficits , unaffordable expense ratios and depressed investment climate continue to put pressure on member benefits and values. The Commission will continue to engage key stakeholders in its efforts to ensure that reasonable benefit expectations of members are met.



